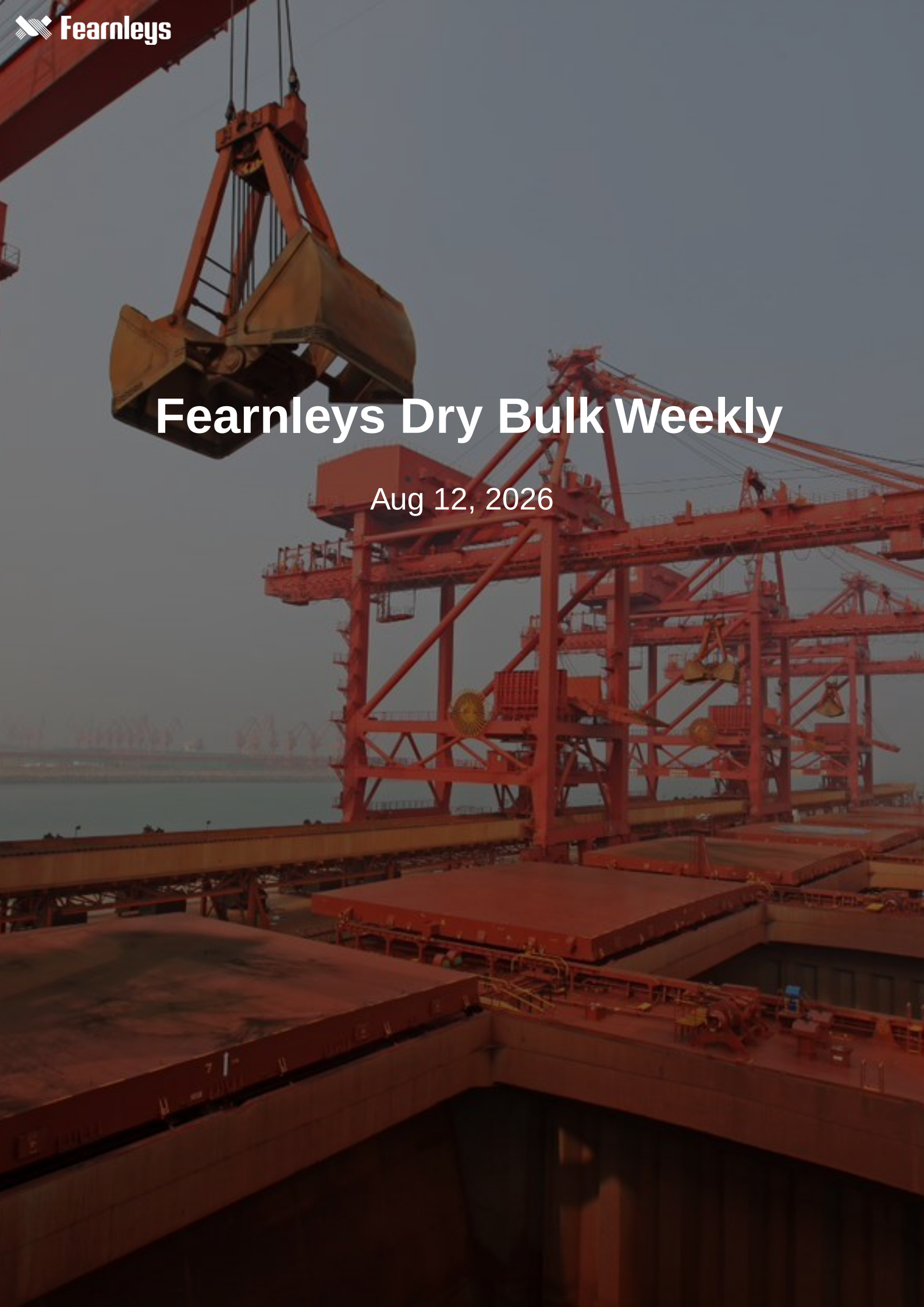


Fearnleys Dry Bulk Weekly

Aug 12, 2026



Capesize/Newcastlemax

Congestion in China has decreased sharply since last week, to the lowest level since April, according to AIS data. Otherwise, we can still point to the clear weakening of iron ore and steel fundamentals in China, though this has yet to have much effect on earnings.

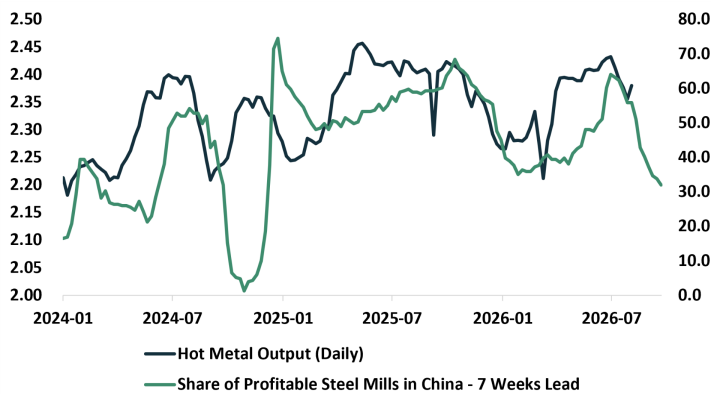
Top left chart: Clear suggestion by the falling share of profitable steel mills that hot metal output will continue to fall sharply over the next weeks.

Top right chart: Through week 32, shipment volumes were 4.8% higher than the same period last year. Comparing the last eight weeks with the same weeks last year, shipment volume growth was up 2.3%. DWT supply growth remains at 1.8%.

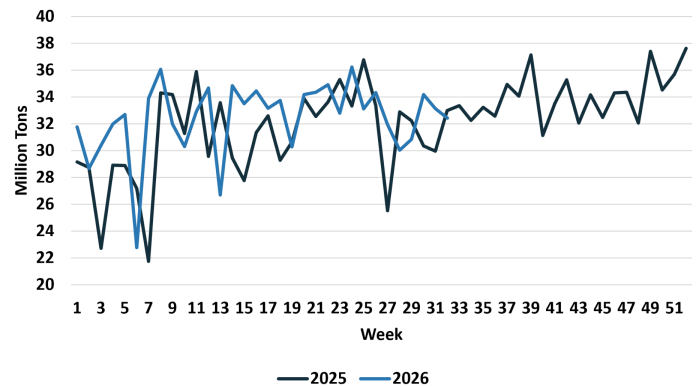
Bottom left chart: The SATI rose since last week, and is now at the longer-term average, thus not suggesting anything clear direction-wise in the near-term.

Bottom right chart: The laden/ballast ratio has increased since last week, and is now just slightly below the longer-term average.

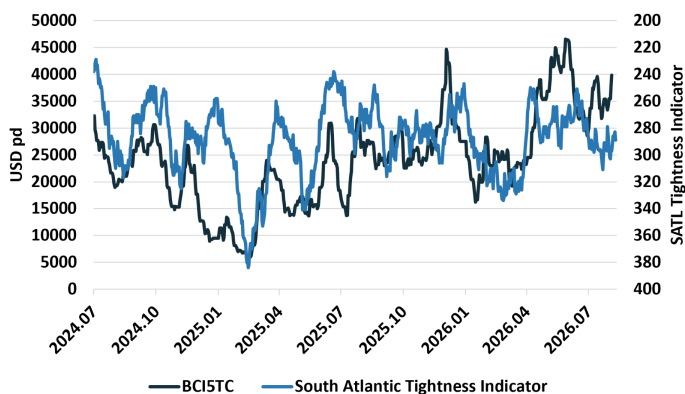
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



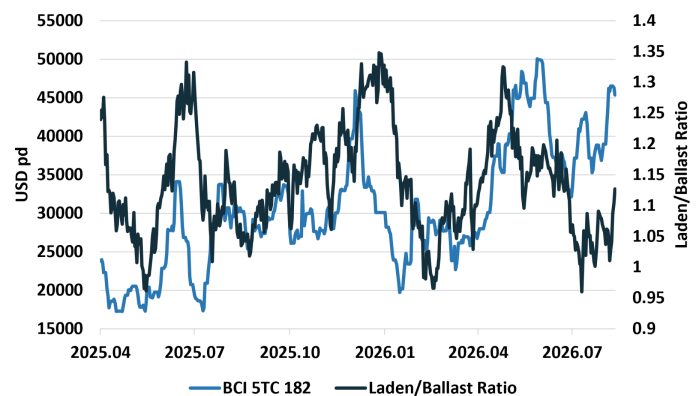
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio





Panamax/Kamsarmax

The indicators below still suggest the market will peak this month and fall next month. Through week 32, shipment volume growth was below DWT supply growth.

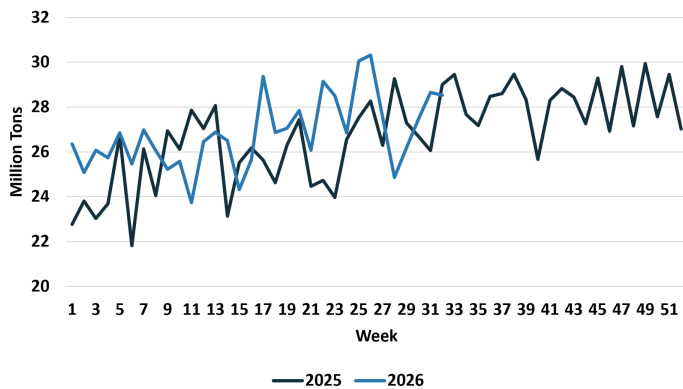
Top left chart: Shipment volumes were up 3.8% year on year through week 32. In the last eight weeks, volumes were up 1.5% compared to the same period last year. Supply growth was 4.1% at the latest reading.

Top right chart: The 2-month lead of the coal futures curve suggests the market will rise in August, then fall in September.

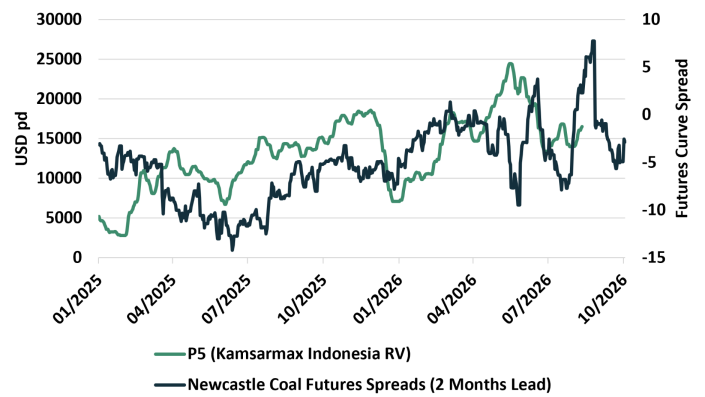
Bottom left chart: The Pacific tightness indicator suggests the market could peak in the middle of this month.

Bottom right chart: The SATL tightness indicator suggests P6 will rise through this month.

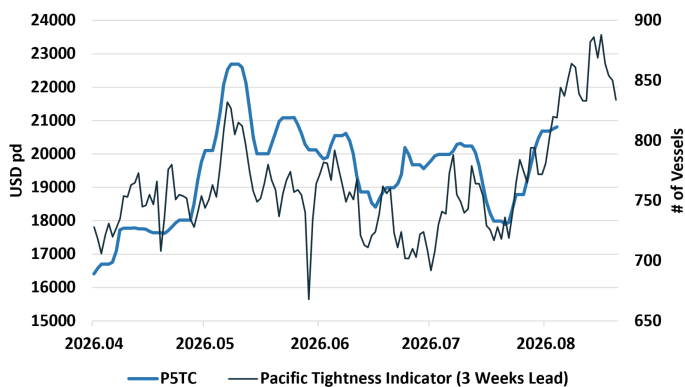
Weekly Shipment Volumes



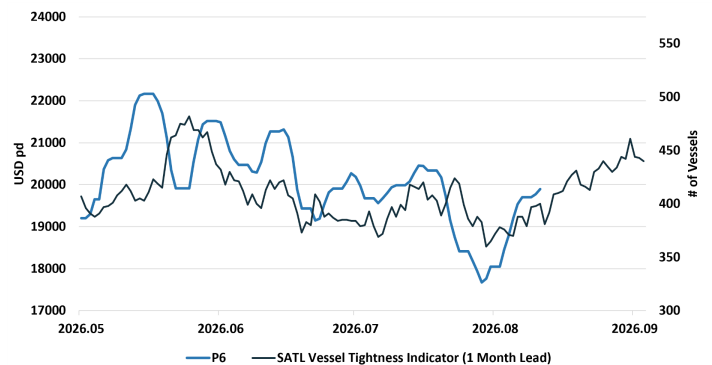
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 3 Weeks)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)





Supramax/Ultramax

Through last week, shipment volume growth was 4.5%, compared to DWT supply growth of 5.2%. The ballaster/laden vessel ratio remains higher than levels seen between May and July. The futures market is still convinced the market will rise back to the peak levels seen in July and stay there through the end of this year. We find it hard to agree...

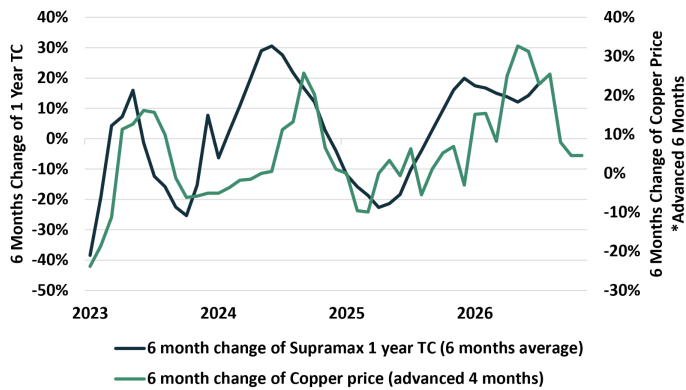
Top left chart: The loss of upward momentum in the price of copper suggests a similar development for the Supra/Ultra market going forward.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

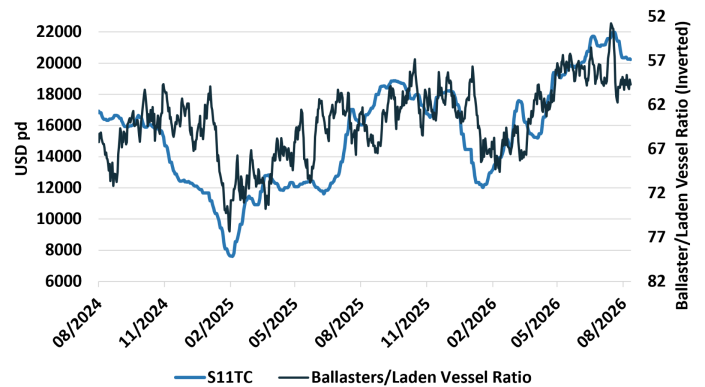
Bottom left chart: S11TC, HS7TC, and the spread between those indices. A high spread can indicate the market is peaking (and vice versa).

Bottom right chart: Through week 32, shipment volumes were up 4.5% year on year, compared to supply growth of 5.1%. Fundamentals remain positive as congestion and sailing distances are higher than last year.

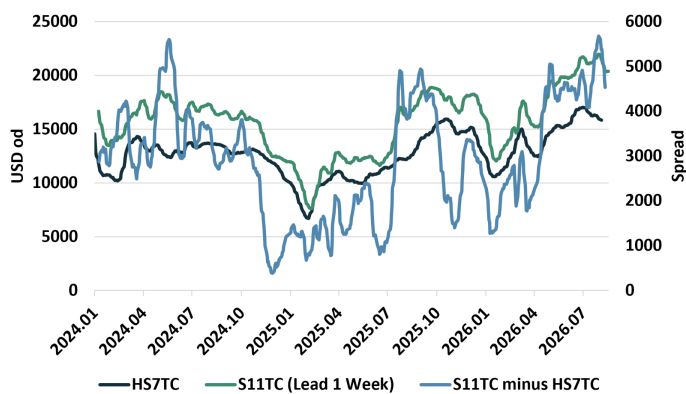
Copper Price 6 Months Change, 4 Months Lead, vs Supra 1 Year TC 6 Months Change



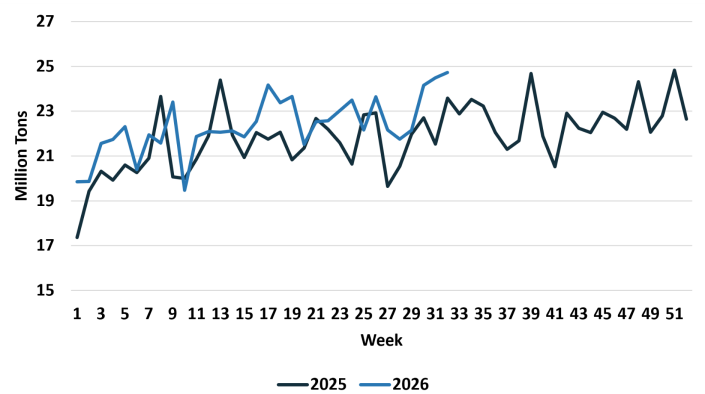
S11TC vs Ballaster/Laden Vessel Ratio



Ultramax Spread over Handysize



Weekly Shipment Volumes





Handysize

Our comment from last week: *"There could be a slight rebound now, given the stabilization of the Ultramax index, coupled with a low ratio between hs3 and hs5, which is often followed by a rebound in hs3."*

Yet to see any rebound. If it appears, we dont expect anything significant.

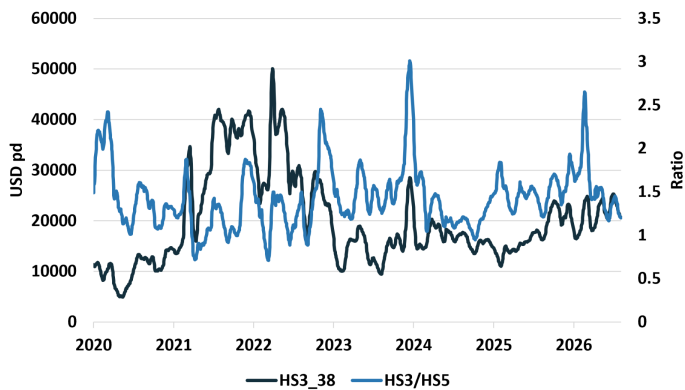
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 30, Handysize shipment volumes were 3.5% higher year on year, rising from under 3% seen about a month and a half ago. Supply growth is 2.8%.

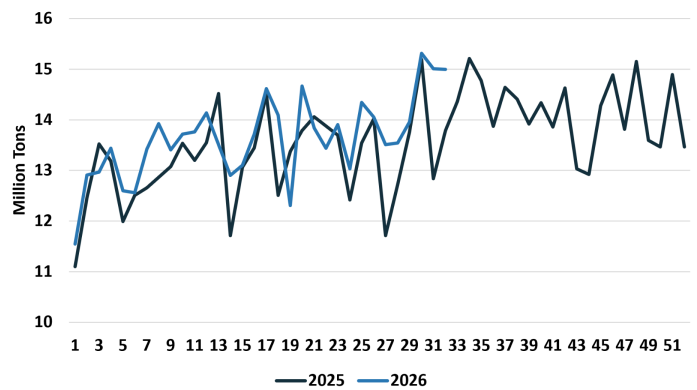
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

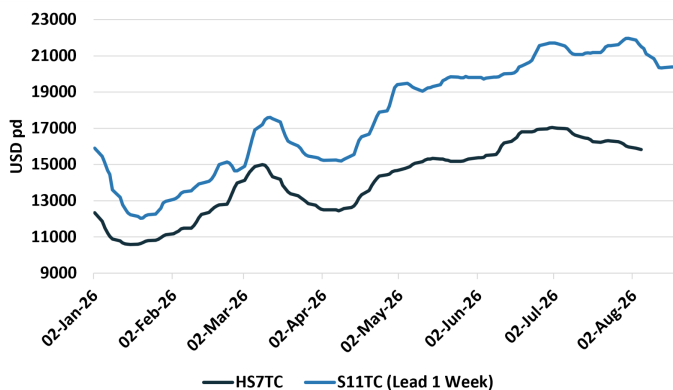
HS3 vs Ratio of HS3 and HS5



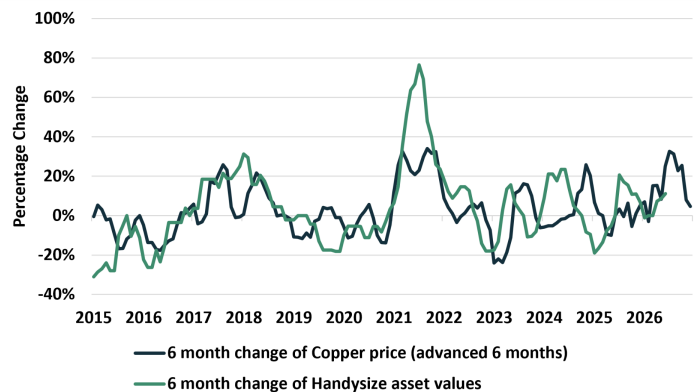
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change





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